

ECONOMY — Budget, Taxation & Fiscal System

Batch 3 of 10 · Sources: Parmar Ch.4 (full) + Lucent §10 "Indian Fiscal System" (full) + §12 "Tax System" (full) · Complete source coverage · ★ = tested in a real past SSC paper · PYQ buckets "04 Indian Tax System" (15 Qs) + "05 Public Finance" (57 Qs)

1 Budget Basics

Budget = estimate of govt receipts & expenditure over a period, called the "**Annual Financial Statement**" ★ under **Article 112** ★ (the word "Budget" itself is NOT in the Constitution). **President of India** is responsible for presenting the AFS to both Houses of Parliament. Prepared by: Department of Economic Affairs (Ministry of Finance); presented by: the Finance Minister. First Budget: **R.K. Shanmukham Chetty**; 2nd budget: John Mathai.

Most number of budgets	Count
Morarji Desai	10 (record holder, 6 in a row)
P. Chidambaram	9
Nirmala Sitharaman	9 (incl. 9 consecutive)
Pranab Mukherjee	8
Yashwant Sinha	8

Gender Sensitive Budget: 2005-06. **Indira Gandhi** = 1st female Finance Minister of India (temporary).

Child Budgeting introduced: **2008-09** ★.

HOOK Railway Budget: separated from General Budget in **1921** (Acworth Committee); **merged back in 2016** (Bibek Debroy Committee), effective **2017-18** ★ — ending a colonial practice since 1924. **Budget 2017-18** reforms ★ (in full, per Lucent): (1) presentation date advanced to **1 February** — avoids a Vote on Account, single Appropriation Bill passed before the financial year's close, so ministries can operationalise schemes from day one of the new FY; (2) Railway Budget merged with General Budget — brought Railways to the centre of fiscal policy, enabled multi-modal transport planning (rail/highways/inland waterways); (3) plan/non-plan expenditure classification abolished — gives a holistic view of sector/ministry allocations, facilitates optimal resource allocation. *Source: INDIA 2018.*

2 Budget's 3 Functions, Asset/Liability, Deficit-Financing Actors

Function	Meaning
Allocation ★	Divides resources between public/private goods — the budget's primary objective is to allocate limited public funds to sectors like education/health/defence ★
Redistribution	Reduces income inequality via progressive taxation + welfare programs (e.g. unemployment benefits)
Stabilisation	Counters recession (↑ spending) or inflation (↓ spending) by adjusting govt spending/taxation

Asset = resource with economic value an entity owns/controls, expected to give future benefit. Eg: gold, property. **Liability** = obligation/responsibility to fulfil a debt/duty to another party. Eg: loan repayment.

HOOK Along with the Annual Financial Statement, the FRBM Act mandates **3 documents** ★: Medium-Term Fiscal Policy Statement (3-year rolling target for key fiscal indicators like revenue/fiscal deficits), Fiscal Policy Strategy Statement ★ (financial goals + methods to achieve them), Macroeconomic Framework Statement (overview of economic situation incl. GDP growth) — NOT a "Monetary Policy Statement" (that's RBI's own, independent document — a tested distractor ★). The **Finance Bill** ★ (Art. 110/117) proposes tax changes/rates, needs Parliament's approval; the **Appropriation Bill** ★ authorises withdrawal from the Consolidated Fund.

3 Revenue vs Capital (Receipts & Expenditure) — full detail

Budget divided into two heads: **Revenue** and **Capital**. Revenue = funds a govt collects to finance activities/public services, primarily from taxes plus fees/fines/duties. Tree: Budget → Revenue {Receipt, Expenditure} and Capital {Receipt, Expenditure}.

Revenue Receipts ★

Do NOT create liability or reduce assets; non-redeemable; do not lead to a claim on government.

- **Tax Revenue:** income collected via taxation. Eg: Wealth Tax.
- **Non-Tax Revenue:** recurring income from non-tax sources. Eg: interest on loans, PSU earnings, railway tickets.

Revenue Expenditure ★

Spending that neither increases assets nor decreases liabilities.

- **Plan Revenue Expenditure:** part of the plan budget, no assets/liabilities created. Eg: govt grants/financial assistance.
- **Non-Plan Revenue Expenditure:** day-to-day operations, excl. capital expenditure. Eg: salary/pension, **interest payment (largest component) ★**, infrastructure maintenance.

Capital Receipts ★

Physical/financial resources used to produce value. EITHER create a liability OR reduce government assets — creates new liabilities, reduces an existing asset.

- **Capital Receipt:** Eg. loan, disinvestment ★.
- **Capital Expenditure:** funds to acquire/upgrade/maintain long-term assets (property, infra, equipment) — creates new assets, reduces liabilities. Eg: loan repayment, developmental expenditure, infra creation (roads/schools/hospitals).

TRAP Sale of PSU shares/disinvestment ★ = **capital receipt** (reduces govt assets) — NOT a revenue receipt. Loan from RBI = capital receipt because it creates a **future liability** ★. **Capital Account** of the budget = records changes in govt's assets/liabilities ★.

Fiscal Consolidation (as printed, Parmar's own current-budget box)

DOUBT Time-sensitive figures, included for full source coverage: Central Government targets a **debt-to-GDP ratio of 50±1% by 2030**. Debt-to-GDP estimated at **55.6% of GDP in BE 2026-27** vs **56.1% in RE 2025-26**. Fiscal deficit: RE 2025-26 at par with BE 2025-26, **4.4% of GDP**; BE 2026-27 estimated at **4.3% of GDP** (new fiscal-prudence debt-consolidation path).

4 Committees on Tax/Fiscal Reform (consolidated, all mentions)

Committee	Year	Remit
Raja J. Chelliah ★	1991 (Parmar); "R. Chelliah Committee" constituted Aug 1991 per Lucent	"Father of Indian Tax Reforms" ★ — rationalised direct/indirect tax rates, broadened tax base, reduced customs duties; recommended reducing personal/corporate tax rates, widening tax base by removing exemptions, simplifying tax structure, expanding MODVAT to avoid tax cascading, gradually reducing high customs duties. Lucent adds: recommended taxing agricultural income above ₹25,000 p.a.; lowering tax rates/reducing tax slabs.
Kelkar Committee ★	2002-03 ★	Simplification of direct taxes in post-liberalisation India
Kelkar Committee	2015	Improving the PPP model for efficiency/transparency in infrastructure projects
K.L. Rekhi Committee	1992	Uniform regulations for indirect taxation (Customs Duty, Excise Duty)

5 Direct & Indirect Taxes — full treatment

Direct Tax ★	Indirect Tax ★
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Payable directly to govt; cannot be passed to someone else; **progressive** ★ in nature — marginal tax rate > average tax rate. Eg: income tax, wealth tax, gift tax, capital gain tax, corporate tax

Payable indirectly; can be passed to someone else; **regressive/proportional** ★ in nature. Eg: GST, Excise Duty (petrol/diesel/ATF), Customs Duty

TRAP **"Paper Taxes"** ★ = taxes with significance only on paper, negligible revenue yield. Eg: Wealth Tax, Gift Tax, Estate Duty (not levied now). **Corporate Tax** is a **DIRECT** tax ★ (levied on company profits) — a repeatedly tested distractor against GST/Excise/Customs (all indirect). Note: Wealth Tax is printed as an example under three different headings in the source (Tax Revenue, Direct Tax, Paper Tax) — all three transcribed, not reconciled.

HOOK **Laffer's Curve** — bell-shaped graph of tax rate vs govt revenue; suggests raising taxes beyond a point *decreases* revenue (discourages investment/consumption; workers may reduce effort if extra income is taxed away).

"Rupee Comes From" — Budget 2025-26 (doughnut chart, in full)

Source	Share
Borrowing and Other Liabilities	24%
Income Tax	22%
GST & other taxes	18%
Corporation Tax	17%
Non-Tax Receipts	9%
Union Excise Duties	5%
Customs	4%
Non-Debt Capital Receipts	1%

"Rupee Goes To" — Budget 2025-26 (doughnut chart, in full)

Head	Share
States' share of taxes and duties	22%
Interest payments	20%
Central sector scheme (excl. capital outlay on defence and subsidy)	16%
Defence	8%
Finance Commission and other transfers	8%
Centrally sponsored scheme	8%
Other expenditure	8%
Subsidies	6%
Pensions	4%

6 GST, Cascading Tax & Other Taxes (Parmar)

GST: introduced via **101st Constitutional Amendment Act** ★; effective **1 July 2017**. **GST Council** (Art. 279A) = constitutional body, **33 members (2 Centre + 31 States/UTs)** ★, chaired by the Finance Minister. **Cascading Tax (Tax on Tax)** = tax levied at every production/distribution stage without credit for tax already paid — raises final price.

Surcharge = additional tax on income tax for taxpayers above a threshold. **Cess** = tax on tax liability, levied for a specific purpose. **Surcharge and Cess are levied by the Central Government but NOT shared with states** ★. **Pigouvian Tax** = tax on activities causing negative externalities (external costs not in market price) — levied to reduce those externalities.

WMA (Ways and Means Advances), 1997 Agreement — Centre meets temporary receipts/expenditure mismatches via RBI-provided WMA; purpose: manage temporary cash-flow shortages, not a permanent finance source.

7 FRBM Act, 2003 — full detail

FRBM Act ★ — enacted to ensure fiscal discipline/responsible financial management; passed **2003**; aimed to limit fiscal deficit to **~3% of GDP ★** and promote prudent public-debt management.

HOOK **FRBM Review Committee** — formed **May 2016**, headed by **N.K. Singh ★**.

Recommendations: Debt-GDP target = **60% of GDP** (40% Centre + 20% States); Fiscal Deficit target = reduce to **2.5% of GDP** in the medium term by 2023; **Escape Clause ★** — deviate by 0.5% of GDP in exceptional situations (war, national security, natural disasters, economic slowdown) by 2023; recommended a **Fiscal Council** to monitor fiscal discipline.

Year	Fiscal Deficit	Revenue Deficit	Debt
2017-18	3.0%	2.1%	47.3%
2018-19	3.0%	1.8%	45.5%
2019-20	3.0%	1.6%	43.7%
2020-21	2.8%	1.3%	42.0%
2021-22	2.6%	1.1%	40.3%
2022-23	2.5%	0.8%	38.7%

8 Crowding In/Out; Budget Types; Deficit Financing

Crowding In = govt spending (esp. infra/public investment) stimulates private-sector investment → higher overall economic activity. **Crowding Out** = increased govt borrowing/expenditure raises interest rates, reduces private investment (govt competes with private sector for funds).

Budget Type	Condition
Balanced Budget	Total revenue = total expenditure
Surplus Budget	Receipts > expenditure
Deficit Budget	Expenditure > receipts

Deficit Financing (concept by **J.M. Keynes ★**) = govt expenditure exceeds revenue, gap financed by creating new money or borrowing. **Debt Financing** = raising funds via borrowing (loans from banks/FIs, bonds) — repaid with interest. **Equity Financing** = raising funds by issuing shares — investors become owners, share profits via dividends, no repayment obligation.

9 Deficits — the full ladder

Deficit	Formula (Parmar)	Meaning
Budgetary Deficit	Total Expenditure – Total Receipt	Total expenditure exceeds total revenue from taxes/other sources → borrowing needed
Revenue Deficit ★	Revenue Expenditure – Revenue Receipt ★	Only current-account transactions; also called " dis-saving " ★ — govt borrows for consumption, no asset created, future interest burden ↑
Effective Revenue Deficit	Revenue Deficit – Grant given for developmental purpose	Refines Revenue Deficit by excluding grants that indirectly build assets
Fiscal Deficit ★	Total Expenditure – (Total Receipt – Debt-creating Capital Receipt), equivalently Total Expenditure – (Revenue Receipts + Non-debt Capital Receipt) ★	Total borrowing requirement of govt ★ — key indicator of financial health
Primary Deficit ★	Fiscal Deficit – Interest Payment (Parmar: "previous year interest payments") ★	Borrowing needed for current expenses, excluding legacy-debt interest ★

Externalities = an indirect cost/benefit to an uninvolved third party from another party's activity — can be positive or negative.

DOUBT Lucent's own text (§10) gives "Primary Deficit = Revenue Deficit – Interest Payments" — an internal misprint contradicting its own correct definition ("fiscal deficit minus interest payments") one sentence earlier; the PYQ book's tested answer uses **Fiscal Deficit – Interest Payments**, used as correct in the table above.

HOOK Worked example ★: Total Revenue Receipts ₹50L cr, Total Expenditure ₹75L cr, Borrowings ₹20L cr → **Fiscal Deficit = 75–50 = ₹25L cr** ★ (borrowing of ₹20L cr covers only part of it — remainder from non-debt capital receipts). **Monetised Deficit** (Lucent) = increment in Net RBI Credit to the Central Government.

Lucent §10's own deficit definitions (fuller wording, all 4 types)

- 1. **Revenue Deficit** = Total Revenue Expenditure – Total Revenue Receipts = Non-plan Expenditure + Plan Expenditure – (net tax revenue + non-tax revenue). Reflects what the government is borrowing *for* — like an individual borrowing to pay house rent: borrowing+spending with no durable asset created, implying a future repayment obligation with no offsetting investment. Occurs when realised net income is less than projected/budgeted.
- 2. **Budget Deficit** = Total Expenditure – Total Receipts = (non-plan + plan expenditure) – (Revenue Receipts + Capital Receipts). Total receipts here include current revenue and net internal/external capital receipts.
- 3. **Fiscal Deficit** = Revenue Receipts (net tax + non-tax revenue) + Capital Receipts (only recoveries of loans and other receipts) – Total Expenditure (plan + non-plan). Difference between total expenditure (revenue, capital, and loans net of repayment) and revenue receipts plus non-borrowing capital receipts that ultimately accrue to government.
- 4. **Primary Deficit** = fiscal deficit minus interest payments — shows how much govt borrows to pay for expenses *other than* interest, and how much it adds to future repayment burden based on past/present policy.

10 Finance Commission — full detail

Finance Commission = constitutional body under **Article 280**, constituted by the **President every 5 years**, recommends Centre-State tax-revenue distribution. **1st FC**: chairman **K.C. Neogi**. 15 Finance Commissions have submitted reports since Independence (per Lucent). **15th FC** (period 2020-25/award period 2021-22 to 2025-26): constituted Nov 2017, chairman **N.K. Singh**.

HOOK **16th Finance Commission** ★ — constituted **31 December 2023** ★ under Art. 280(1), for period 2025-2030/2026-31 (as variously printed); chairman **Arvind Panagariya** ★ (also printed "Pangariya"); **1 Chairman + 4 Members** ★. **Vertical Devolution** ★ = states' collective share of the divisible pool, retained at **41%** ★. **Horizontal Devolution** ★ = how that 41% splits among states — Income Distance **42.5%**, Population **17.5%**, Area **10%**, Forest & Ecology **10%**, Demographic Performance **10%**, Contribution to GDP **10%** (new in 16th FC) ★. Also recommends: Grants-in-aid to states from the Consolidated Fund (Art. 275); measures to improve Panchayat/Municipality finances.

Criteria	15th FC (2021-26)	16th FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax and Fiscal Efforts	2.5%	—
Contribution to GDP	—	10%
Total	100%	100%

A provision of **₹1.34 lakh crore** has been made to states for FY2026-27 as Finance Commission grants (incl. Rural & Urban Local Body grants, Disaster Management grants). *Sources: 15th & 16th FC Reports;*

PRS.

Recommendations of 15th Finance Commission (Lucent, in full): devolution to all tiers of Panchayati Raj incl. Traditional Bodies of Non-Part IX States (Fifth/Sixth Schedule areas). Grants in two parts: **Basic (Untied) Grant** (usable by Rural Local Bodies for location-specific needs under the 29 subjects of the Eleventh Schedule, except salaries/establishment costs) and **Tied Grant** (for (a) sanitation/ODF-status maintenance incl. household waste and faecal sludge management, (b) drinking water supply, rainwater harvesting, water recycling). Also recommended **Health Grants** (2021-26): diagnostic infrastructure for sub-centres/PHCs, block-level public health units, building grants, converting rural PHCs/sub-centres into Health & Wellness Centres. *Source: INDIA 2024.*

Per BHARAT 2025: Finance Commission Division (FCD), Dept. of Expenditure, processes/follows up FC recommendations incl. grant releases. Of the 15th FC's ₹1,79,140.00 crore allocated for 2023-24, ₹1,49,570.41 crore was released; an additional ₹1,048.50 crore released from the National Disaster Response Fund for severe natural calamities.

11 Operation Twist

Operation Twist — RBI monetary-policy tool: simultaneously buys long-term govt securities and sells short-term securities, to reduce long-term interest rates and manage the yield curve. Buying long-term bonds raises their prices, lowers yields, making long-term loans cheaper. (Printed at the end of Parmar's Budget/Taxation chapter, though thematically a monetary-policy tool — see Batch 5.)

12 Lucent \$10 — Indian Fiscal System (structure & revenue sources)

Fiscal System = state's management of revenue and capital expenditure finances — includes revenue-raising, borrowing, spending activities. **Fiscal Policy** = use of taxation, public expenditure and public-debt management to achieve specified objectives. Indian Fiscal System covers Centre/State revenue and expenditure management, public debt, deficit financing, budget, tax structure.

Sources of Revenue for Centre	Sources of Revenue for State
Tax revenue (income/expenditure taxes; property/capital-transaction taxes; commodity/service taxes) + Non-tax revenue (currency/coinage/mint; interest receipts/dividends; other non-tax revenue)	State tax revenue (land revenue, stamp, registration, estate duty, etc.); share in central taxes; income from social/commercial/economic services and profits of state enterprises

Expenditure of Centre	Expenditure of State
Plan expenditure (agriculture, rural development, irrigation/flood control, energy, industry/minerals, transport, communications, S&T, environment, economic services) + Non-plan expenditure (interest payments, defence, subsidies, general services — the major heads)	Non-Development + Development Expenditure

Public Debt — Internal (loans from open market, compensation bonds, prize bonds, treasury bills issued to RBI/commercial banks) + External (loans from World Bank, IMF, ADB, individual countries like USA/Japan). **Deficit Financing** = fiscal tool bridging the gap between revenue receipt and revenue expenditure.

Budget Documents & Accounts (Lucent, in full)

Every budget gives 3 sets of figures: (a) actual figures for the preceding year, (b) budget/revised figures for the current year, (c) budget estimates for the following year. Core budget document = **Annual Financial Statement**, under **Article 112** (Centre) / **Article 202** (States, before the state legislature).

Government accounts kept in 3 parts:

Account	Detail
Consolidated Fund	All revenues received, loans raised, and recoveries of loans granted, by Government. All expenditure comes from here; no withdrawal without Parliament's authorisation.
Contingency Fund	An imprest at the President's disposal, for urgent unforeseen expenditure pending Parliament's authorisation — later recouped from the Consolidated Fund once approved. Corpus (per India 2023, from April 2021): ₹30,000 crore .
Public Account	Transactions where Government acts as a banker (provident funds, small savings, other deposits) — no Parliamentary authorisation needed for these payments.

Budget comprises **Revenue Budget** (current receipts — taxation, PSU surplus — and expenditures) and **Capital Budget** (capital receipts/expenditure — domestic/foreign loans, loan repayments, foreign aid).

Summary of Union Budget 2025-26 (Lucent, in full)

DOUBT All figures below are Budget 2025-26 specifics, superseded by later budgets — included for full source coverage.

- No income tax on average monthly income up to ₹1 lakh — boosts middle-class savings/consumption.
- Salaried class pays nil income tax up to ₹12.75 lakh p.a. under the new tax regime.
- Union Budget recognises **4 engines of development**: Agriculture, MSME, Investment, Exports.
- Loans up to ₹5 lakh via KCC under a modified interest subvention scheme.
- FY-25 fiscal deficit estimated at 4.8%, target to bring down to 4.4% in FY-26.
- MSME credit-guarantee cover enhanced from ₹5 cr to ₹10 cr.
- National manufacturing mission for small/medium/large industries, furthering "Make In India".
- 50,000 Atal Tinkering Labs in government schools over 5 years.
- Centre of Excellence in AI for education, outlay ₹500 crore.
- PM Svanidhi enhanced bank loans, UPI-linked credit cards with ₹30,000 limit.
- Gig workers get identity cards, E-Shram Portal registration, healthcare under PM Jan Arogya Yojana.
- ₹1 lakh crore Urban Challenge Fund for "Cities As Growth Hubs".
- Nuclear energy mission for small modular reactor R&D, outlay ₹20,000 crore.
- Modified UDAN scheme — regional connectivity to 120 new destinations.
- Gyan Bharatam Mission — survey/conservation of over 1 crore manuscripts.
- FDI limit for Insurance raised from 74% to 100%.
- Jan Vishwas Bill 2.0 — decriminalising 100+ provisions across laws.
- Updated Income Tax Return time limit increased from 2 to 4 years.
- Delay in TCS payment decriminalised (following earlier TDS decriminalisation).
- TDS on rent increased from ₹2.4 lakh to ₹6 lakh threshold.
- BCD exempted on 36 lifesaving drugs/medicines (cancer, rare, chronic diseases).
- BCD on IFPD increased to 20%; on open cells reduced to 5%.
- BCD on parts of open cells exempted, to promote domestic manufacturing.
- Additional capital goods for EV/mobile battery manufacturing exempted, to boost battery production.
- BCD exempted for 10 years on raw materials/components for shipbuilding.
- BCD reduced from 30% to 5% on frozen fish paste; 15% to 5% on fish Hydrolysate.
- Theme: **"Sabka Vikas"** — stimulating balanced growth of all regions.
- 4 engines (Agriculture, MSME, Investment, Exports) toward "Viksit Bharat", using reforms as fuel, inclusivity as spirit.

Financial Sector Reforms & Fiscal Consolidation (Budget 2025-26)

FDI limit for insurance raised 74%→100%, for companies investing the entire premium in India. Government committed to keep fiscal deficit on a path such that Central Government debt declines as a %age of GDP (6-year roadmap in the FRBM statement). **RE 2024-25 fiscal deficit: 4.8% of GDP; BE 2025-26: 4.4% of GDP.**

	RE 2024-25	BE 2025-26
Total receipts (excl. borrowings)	₹31.47 lakh crore	₹34.96 lakh crore
Net tax receipts	₹25.57 lakh crore	₹28.37 lakh crore
Total expenditure	₹47.16 lakh crore	₹50.65 lakh crore
of which capital expenditure	~₹10.18 lakh crore	—

Revised Tax Rates — Budget 2025-26 new-regime slabs (in full)

No income tax up to ₹12 lakh p.a. (average ₹1 lakh/month), excluding special-rate income like Capital Gains. Salaried individuals up to ₹12.75 lakh p.a. pay NIL tax (due to ₹75,000 standard deduction). Revenue loss to government from the new structure: ~₹1 lakh crore.

Total Income per annum	Rate of Tax
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₹0-4 Lakh	NIL
₹4-8 Lakh	5%
₹8-12 Lakh	10%
₹12-16 Lakh	15%
₹16-20 Lakh	20%
₹20-24 Lakh	25%
Above ₹24 Lakh	30%

TDS/TCS rationalisation: senior citizens' interest-income tax-deduction limit doubled from ₹50,000 to ₹1 lakh; TDS threshold on rent increased from ₹2.4 lakh to ₹6 lakh p.a.; TCS payment delay decriminalised (following TDS delay decriminalisation earlier). 36 lifesaving drugs/medicines (cancer, rare, chronic diseases) fully exempted from BCD. Also fully exempted: cobalt powder/waste, scrap of lithium-ion battery, lead, zinc, and 12 more critical minerals; two more types of shuttle-less looms added to exempted textile machinery.

Finance, Department of Economic Affairs, Finance Bill, Appropriation Bill, Demands for Grants

Ministry of Finance — administers government finances; handles all economic/financial matters, resource mobilisation, expenditure regulation incl. transfers to states. **Department of Economic Affairs** — nodal agency for formulating/monitoring domestic and international economic policy; prepares/presents the Union Budget (incl. Railway Budget) and state-government budgets under President's Rule/UT administrations.

Demands for Grants — expenditure estimates from the Consolidated Fund, voted by Lok Sabha per **Article 113** — presented alongside the AFS. **Finance Bill** — a Money Bill (Art. 110), accompanied by an explanatory Memorandum; presented alongside the AFS per Art. 110(1)(a), detailing tax imposition/abolition/remission/alteration/regulation proposed in the Budget. **Appropriation Bill** — Parliament's approval to withdraw from the Consolidated Fund the amounts voted via Demands for Grants and charged expenditure; under **Article 114(3)**, no withdrawal without such an enacted law.

Sources of Revenue — per the Constitution (Eightieth Amendment) Act, 2000 (retrospective from 1 April 1996): all Union List taxes (except Art. 268/269 duties, Art. 271 surcharges, and specific-purpose cesses) are levied/collected by GoI and distributed between Union/States as the President prescribes on FC recommendation. Main Union tax-revenue sources: customs duties, Union excise duties, service tax, corporate/income taxes. Non-tax revenue: interest receipts, dividends/profits, fines, sovereign-function receipts, regulatory charges/licence fees, user charges for public goods/services.

Public Debt of India — 3 categories: Internal debt, External debt, Other liabilities. **Internal debt**: fixed-tenure/fixed-rate government papers issued via auction — market loans (dated securities), treasury bills (91/182/364 days), 14-day T-bills (states only), cash management bills, special RBI securities, compensation/other bonds, non-negotiable non-interest-bearing rupee securities to international financial institutions, market-stabilisation-scheme securities (to reduce gold/import dependency). **External debt**: loans from foreign governments/multilateral institutions — India's foreign borrowing comes via multilateral agencies/bilateral sources as part of Official Development Assistance (ODA); the Union does not borrow directly from international capital markets. **Other liabilities** (not part of public debt): post office savings deposits, small savings schemes, post office cash certificates, provident funds, other deposits. RBI manages Central/State public debt and acts as their banker (RBI Act 1934, Sections 20/21/21A).

Gender & Child Budgeting (Lucent's fuller figures)

Separate **Statement No. 13 on Gender Budget** included from 2005-06 (allocations for women-specific programmes). **Statement No. 12** on schemes for child welfare included from FY2009-10 (educational outlays, child protection). For FY2024-25: **₹3.3 lakh crore** allocated for women's welfare/empowerment across ministries (Economic Survey 2023-24 notes a shift from women's development to women-led development). Budget for children (2024-25): **₹1,09,921 crore** = 2.28% of total Budget, a 5.51% increase from the previous year's ₹1,04,180 crore.

Some Financial Institutions and their Year of Establishment (Lucent, in full)

Institution	Year
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Industrial Credit and Investment Corporation of India (ICICI)	Jan 1955
Industrial Finance Corporation of India	1948
Unit Trust of India (HO Mumbai)	1 Feb 1964
NABARD	12 July 1982
Industrial Reconstruction Bank of India	20 March 1985
SIDBI (HO Lucknow)	1990
EXIM Bank	1 Jan 1982
Regional Rural Bank (RRB, HO Kolkata)	2 October 1975
LIC (HO Mumbai)	Sept 1956
Imperial Bank of India	1921
RBI (HQ Mumbai)	1 April 1935
State Bank of India	1 July 1955
National Housing Bank	July 1988
General Insurance Corporation of India	1 Nov 1972

Source table repeats ICICI (Jan 1955) and NABARD ("National Agriculture and Rural Development Bank", 12 July 1982) as separate rows — duplicate entries preserved as printed, shown once above.

Central Government Schemes launched after 2016 (Lucent, in full)

Scheme	Launched
SAUBHAGYA – Pradhan Mantri Sahaj Bijli Har Ghar Yojana	2017
World Class Institutions Scheme	2017
Anaemia Mukht Bharat	2018
Ayushman Bharat – PM Jan Arogya Yojana (ABPMJAY)	2018
National Viral Hepatitis Control Programme	2018
Fit India Programme	2019
Jal Jeevan Mission	2019
Rashtriya Gokul Mission	2019
Dekho Apna Desh	Jan 2020
Pradhan Mantri Garib Kalyan Package Insurance Scheme	March 2020
SVAMITVA	24 April 2020
Pradhan Mantri Matsya Sampada Yojana	2020
VISVAS Yojana	2020-21
Ayushman Bharat Digital Mission	Sept 2021
MusQan Initiative	2021
SVAnidhi Se Samridhhi	2021
Jal Shakti Abhiyan: Catch the Rain	22 March 2021
PM Vishwakarma Scheme	17 Sept 2023

13 Lucent §12 — Tax System (full)

Tax = compulsory contribution by a citizen/organisation to Government, for welfare expenses.
 Levied/collected at 3 levels: Central, State, Local. Centre-State tax distribution set out constitutionally; rationalised periodically via the Finance Commission.

Type	Examples
Direct Tax	Income Tax, Property Tax, Gift Tax, etc.
Indirect Tax	Sales Tax, Excise Duty, Custom Duty, etc.
Taxes by Central Government	Income Tax, Corporate Tax, Property Tax, Succession Tax, Wealth Tax, Gift Tax, Custom Duty, Tax on agricultural wealth, etc.

Taxes by State Government

Land revenue tax, Agricultural income tax, Agricultural Land Revenue, State Excise Duty, Entertainment Tax, Stamp duty, Road Tax, Motor Vehicle Tax, etc.

DOUBT The "Central Government taxes" row above lists Property/Succession/Wealth/Gift Tax and "Tax on agricultural wealth" as Central — contradicts standard practice (agricultural income tax is a State subject) and the source's own statement that "Agricultural income in India is free from income tax" — as printed, not reconciled.

Progressive Tax = takes a higher proportion of income as income rises; Indian Income Tax is progressive and direct. Excise Tax, Sales Tax, VAT, Entertainment Tax are listed as indirect taxes (as printed — VAT/sales/service tax have since been subsumed by GST, book not updated). Main indirect-tax forms: customs/excise duties, sales tax. Centre levies customs/excise (except alcoholic liquor/narcotics); sales tax is exclusively State jurisdiction. Union excise duties form the most significant part of central taxes (as printed — outdated post-GST). Major state tax-revenue sources: shares in union excise duties/income tax, commercial taxes, land revenue, stamp duty, registration fees, state excise on alcohol/narcotics — sales tax is the most important component of commercial taxes.

CBDT — created by the Central Board of Revenue Act 1963; apex body administering direct-tax laws; cadre-controlling authority for IRS officers and Income Tax Department officials.

DOUBT Revenue Collection (time-sensitive): net Direct Tax collection FY2023-24 = ₹19,60,166 crore (provisional). FY2024-25 (up to Nov 2024) = ₹12,46,229 crore = 56.47% of the ₹22,07,000 crore Budget Estimate. *Source: BHARAT 2025.*

Tax on Income and Wealth — income tax, corporate tax, wealth tax, gift tax (income tax/corporate tax most important for revenue). **Personal Income Tax** — imposed on individuals, HUFs, and other communities' total income; surcharges also imposed sometimes. **Agricultural income in India is free from income tax.** **Corporate Tax** — imposed on registered companies/corporations; rate is equal across all companies (rebates/exemptions vary).

Customs Duties — Centre imposes both import and export duty; a revenue source and a foreign-trade regulation tool. **Import Duties** — generally ad-valorem (percentage-based) in India. **Export Duties** — more important than Import Duties for revenue and foreign-trade regulation (as printed).

DOUBT **Excise Duties** — described as "the largest source of revenue for the Central Government" and imposed on production regardless of sale; taxable on all items except liquor, opium and other drugs. This statement is outdated post-GST (which subsumed excise for most goods) — transcribed as printed, not corrected.

Rupee Symbol — history (Lucent, in full)

On **15 July 2010**, the Indian Rupee got its own symbol (like Dollar/Euro/Pound Sterling/Yen). The symbol is an amalgamation of Devanagari 'Ra' and Roman 'R' without the stem. On **5 March 2009**, government announced a contest to design the symbol; the winning design, by **D. Udaya Kumar** (IIT Bombay postgraduate), was selected by the Union Cabinet on 15 July 2010. One Coin and One Rupee note belong to the '**Legal Tender Money**' category.

M1 = Narrow Money; M3 = Broad Money (see also Batch 5's fuller M0-M4 table from Parmar Ch.8).

GST — Legislative Development & full mechanics (Lucent)

National-level GST first mooted **2006-07**. GST Council constituted **2016**, deliberating the Central GST Bill 2017, Integrated GST Bill 2017, GST (Compensation to States) Bill 2017. **GST Constitutional Amendment Bill** received Presidential assent **8 September 2016** as the **101st Amendment Act**. Per **Article 279A(1)**, GST Council was constituted **12 September 2016**.

Three-tier levy: **Central GST, State GST, Integrated GST**. IGST mechanism ensures seamless input-tax-credit flow across states; IGST launched at midnight, **1 July 2017**. GST subsumed: central excise duty, additional excise duties, excise duty under the Medicinal & Toilet Preparations (Excise Duties) Act 1955, Service Tax, Additional Customs Duty (Countervailing Duty), Special Additional Duty of Customs, Central Surcharges/Cesses on goods/services supply. IGST levied on inter-state transactions; coverage = all goods/services except alcoholic liquor for human consumption; petroleum/petroleum products deferred until a date notified on GST Council's recommendation.

Taxes subsumed into GST — Central level	Taxes subsumed into GST — State level
Central Excise Duty; Additional Excise Duty; Service Tax; Additional Customs Duty (Countervailing Duty); Special Additional Duty of Customs	State VAT/Sales Tax; Entertainment Tax (other than by local bodies); Central Sales Tax (levied by Centre, collected by States); Octroi and Entry Tax; Purchase Tax; Luxury Tax; Taxes on lottery/betting/gambling

States compensated for revenue loss from the new tax regime. GST replaced the complex indirect-tax structure with a simple, transparent, technology-driven regime, integrating India into a single common market. *Source: INDIA 2024.*

DOUBT GST Collection (time-sensitive): gross GST collections hit a record ₹2.10 lakh crore in April 2024 (+12.4% YoY, driven by domestic transactions/imports); net GST revenue (after refunds) April 2024 = ₹1.92 lakh crore (+15.5% YoY). *Source: BHARAT 2025.* Note: Lucent gives no GST rate slabs anywhere in this section.

Appendix

A.1 — PYQ citation index (buckets "04 Indian Tax System" 15 Qs + "05 Public Finance" 57 Qs)

Fact tested	Exam • Date • Shift
Chairman, Tax Reforms Committee 1991 = Raja J. Chelliah	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Progressive taxation used for income tax	SSC Phase XIII, 29/07/2025 (Sh-02)
Direct tax collected by govt = Income Tax	SSC Phase XIII, 02/08/2025 (Sh-01)
Direct taxes collected from individuals/companies	SSC Phase XIII, 01/08/2025 (Sh-01)
Corporate Income Tax = direct tax example	SSC Phase XIII, 31/07/2025 (Sh-02)
Wealth tax/gift tax/estate duty = "paper taxes"	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
GST = example of indirect tax	SSC Phase XIII, 29/08/2025 (Sh-03)
GST Act's primary purpose = uniform tax	SSC Phase XIII, 24/07/2025 (Sh-02)
Kelkar committee 2002-03, fiscal reforms chair	SSC CHSL Tier-I, 29/11/2025 (Sh-01); 25/11/2025 (Sh-02)
Entertainment/Entry tax subsumed into GST (ex-State taxes)	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
GST amalgamated central+state taxes/cesses	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
Customs duty on imports/exports	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
CENVAT single rate 16% (2001-02)	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Indirect taxes regressive (price-based, not income-based)	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Excise Duty = indirect tax	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Sale of PSU shares = capital receipt, reduces assets	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Disinvestment proceeds = capital receipt	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Budget's main objective = allocate public funds	SSC Phase XIII, 01/08/2025 (Sh-03)
Annual Financial Statement (not "Budget" in Constitution)	SSC Phase XIII, 30/07/2025 (Sh-01)
Fiscal deficit worked example (₹75L–50L=25L cr)	SSC Phase XIII, 31/07/2025 (Sh-02)
Budgetary Deficit = another term for Fiscal Deficit	SSC Phase XIII, 30/07/2025 (Sh-02)
Revenue expenditure = normal govt-department functioning	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Gender Budget Parts A/B/C (<30% = Part C)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Capital expenditure creates assets (statements)	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Salaries/pensions/defence = revenue expenditure	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
Subsidy=welfare instrument; defence=committed exp. (A-R)	SSC CHSL Tier-I, 21/11/2025 (Sh-01)
Revenue-receipt estimates reflect Finance Bill's tax proposals	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
Traditional view: tax cuts + budget deficit → consumer spending ↑	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
Interest payment on debt = revenue expenditure	SSC CHSL Tier-I, 18/11/2025 (Sh-01)

Child Budgeting introduced 2008-09	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Revenue deficit = only-current-transactions deficit	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Capital account = govt assets/liabilities changes	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Budget deficit statements (expenditure>revenue / revenue>expenditure)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Finance Bill contents = tax proposals (Art.117)	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Traditional/Kelkar-era belief re: tax cuts+deficit	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
2030 urbanisation >40% (Economic Survey 2023-24)	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Revenue account = Revenue Budget (alt. name)	SSC CGL Tier-I, 21/09/2025 (Sh-02)
Capital receipt example (loan from RBI)	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Revenue deficit = dis-saving, concern for economy	SSC CGL Tier-I, 23/09/2025 (Sh-02); 20/09/2025 (Sh-03: formula)
Grants for asset creation still = revenue expenditure	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Capital receipts best definition	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Revenue receipts don't carry repayment burden (A-R)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Income tax/PSU dividends = revenue receipts; disinvestment = capital (statements)	SSC CGL Tier-I, 26/09/2025 (Sh-02)
FRBM enacted 2003	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
FRBM escape clause grounds (natl security/calamity)	SSC CHSL Tier-I, 18/11/2025 (Sh-02)
FRBM fiscal deficit target = 3% of GDP	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
FRBM revenue-deficit cut = 0.5% of GDP/yr	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3 FRBM documents with budget	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Monetary Policy Statement NOT an FRBM document	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Keynes: govt expenditure expansion in recession	SSC Stenographer, 08/08/2025 (Sh-01)
Crowding Out effect	SSC Phase XIII, 29/08/2025 (Sh-03)
Keynesian recession policy = ↑ spending, ↓ taxes	SSC Stenographer, 06/08/2025 (Sh-03)
Post-1991 fiscal discipline: states tied to fiscal targets	SSC Stenographer, 08/08/2025 (Sh-03)
FRBM purpose = reduce borrowing/fiscal deficit	SSC Stenographer, 08/08/2025 (Sh-01)
FM's FRBM role = present fiscal statements	SSC Stenographer, 07/08/2025 (Sh-02)
Fiscal policy = aggregate demand via spending/taxation	SSC Stenographer, 07/08/2025 (Sh-01)
PSU disinvestment reduces financial assets	SSC CPO Tier-I, 10/12/2025 (Sh-01)
FRBM aim re: fiscal deficit + public debt	SSC Phase XIII, 01/08/2025 (Sh-02)
Term for expenditure>revenue = Deficit	SSC Phase XIII, 31/07/2025 (Sh-01)
Deficit financing objective = stimulate growth	SSC Phase XIII, 25/07/2025 (Sh-02)
NOT a cause of fiscal deficit = BoP surplus	SSC Phase XIII, 25/07/2025 (Sh-02)
Money received from loans/asset sale (statements)	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
Fiscal deficit as % of GDP by 1990-91 (~8.4-10%)	SSC CHSL Tier-I, 28/11/2025 (Sh-02)
Kelkar committee year (2002-03)	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Continuous borrowing → debt accumulation	SSC CHSL Tier-I, 24/11/2025 (Sh-01)
Excl. borrowings, expenditure>receipts = fiscal deficit	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Interest on govt loan = revenue expenditure example	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Revenue deficit = Rev.Exp – Rev.Receipts	SSC CGL Tier-I, 20/09/2025 (Sh-03)
Expansionary fiscal policy NOT = ↓ govt spending	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Union Budget presented for FY (April-March)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Primary deficit macro indicator (excl. interest)	SSC CGL Tier-II, 18/01/2026

A.2 — PYQ-book-only facts

2030 urbanisation >40% (Economic Survey 2023-24 citation) and the **CENVAT**/2001-02 single-16%-rate excise reform — neither is in Parmar's Ch.4 or Lucent's §10/§12; both sourced transparently to the PYQ

book's own explanation text.

A.3 — Doubts (carried from the raw extraction, full list)

- Budget-count figures (Sitharaman 9, Chidambaram 9, Morarji Desai 10) — verify against a current Union Budget list.
- Fiscal Consolidation figures (debt-to-GDP $50\pm 1\%$ by 2030, BE/RE 2025-27 figures) — Budget 2026-27 specific, time-sensitive.
- 16th FC facts (constitution date, chairman, member count, 41% vertical share, 10% GDP weight) — verify against the Commission's own report/Action Taken Report.
- "Rupee comes from/goes to" charts labelled "Budget 2025-26" while the fiscal-consolidation lines in the same chapter cite "BE 2026-27" — two different budget years in one chapter, as printed.
- Primary Deficit formula misprint in Lucent (Revenue Deficit – Interest, contradicting its own correct statement one sentence earlier).
- Finance Commission facts: "15 Finance Commissions have submitted reports" while the 16th is separately described as constituted Dec 2023 — as printed, not reconciled; 15th FC "constituted Nov 2017" vs "award period 2021-22 to 2025-26" wording.
- Duplicate rows in the Financial Institutions table (ICICI listed twice at Jan 1955; NABARD listed twice under two names).
- Typos preserved: "tires" (tiers), "Arvind Pangariya" (Panagariya), "buildlosing" (buildings), "ad-velorem" (ad valorem), "september".
- Revenue Collection and GST Collection figures are time-sensitive (FY2023-24/April 2024 data).
- Central-tax table listing Wealth/Gift/agricultural-wealth tax as Central taxes contradicts the source's own "agricultural income is free from income tax" statement.
- Excise/Export-duty "most important for revenue" statements are outdated post-GST, as printed.